Pensions

Economists think about an individual's earning, saving and consumption in terms of a life cycle: people earn and save when young, and use up their savings when old (see The life cycle and permanent income). One way in which people save for their old age is through pensions. Governments provide a basic retirement income to the elderly – the state gets involved here in order to deal with problems inherent in the market provision of retirement incomes. On their own, individuals may find it difficult to plan income streams for decades ahead. It might be hard to get the necessary information and to know what to do with it.

Furthermore, private pension provision faces the problem that people may end up living for a long time, and individuals buying pensions are likely to be those who expect to live for a long time. Since this would cause a loss to the seller, private markets will tend to undersupply, suggesting another reason for state provision. Recently in the West, provision of pensions by employers, alongside the state, has become more common.